

Welcome to
Organisations: People,
Culture; Size & Structure

Learning Objective

By the end of the lesson you will be able to:

Describe factors that affect business activity in an organization

Understand difference between culture and corporate culture

Discuss the determination of culture and its importance to an organization

Describe the dimension of organizational culture

Activity – 5 minutes

Using the Post It Note; describe the qualities you want for a friend.

Business Organisations : Internal Environment

- Organisations structure
- Functions
- Organisational objectives
- Manage the different influences
- Adapt to new external influences
- Manager – people, technology, structures and environments

The Concept of... 'Organisation'

“Two or more people who work together in a structured way to achieve a specific goal or set of goals”.

Stoner and Freeman (1992:4)

Can be in:

- Private sector
- Public sector
- Voluntary (or third) sector

What are Organisations?

“Organizations are essentially collections of parts with endless points of discontinuity. Good designs build organizational capabilities, for instance to manage innovation, which equip organizations to compete successfully. Capabilities are the product of a combination of knowledge, routines and behaviour that are enabled by well designed work processes, structures and lateral processes, management practices and systems and rewards and people practices.”

(Cheung-Judge & Holbeche, 2011, p.212)

Hofstede's cultural model

“The way in which members of an organisation relate to each other, their work and the outside world in comparison to other organisations”

Prof Geert Hofstede

HOFSTEDE'S CULTURAL FRAMEWORK



From A Business Professor

Hofstede's Basic of dimensions of culture

Individualism—Collectivism: The degree to which the society is built around individual rights and duties versus the group being the basic unit of society to which individuals should subordinate themselves

Power Distance: The social and psychological status and authority distance between the highest and lowest powered people in the society

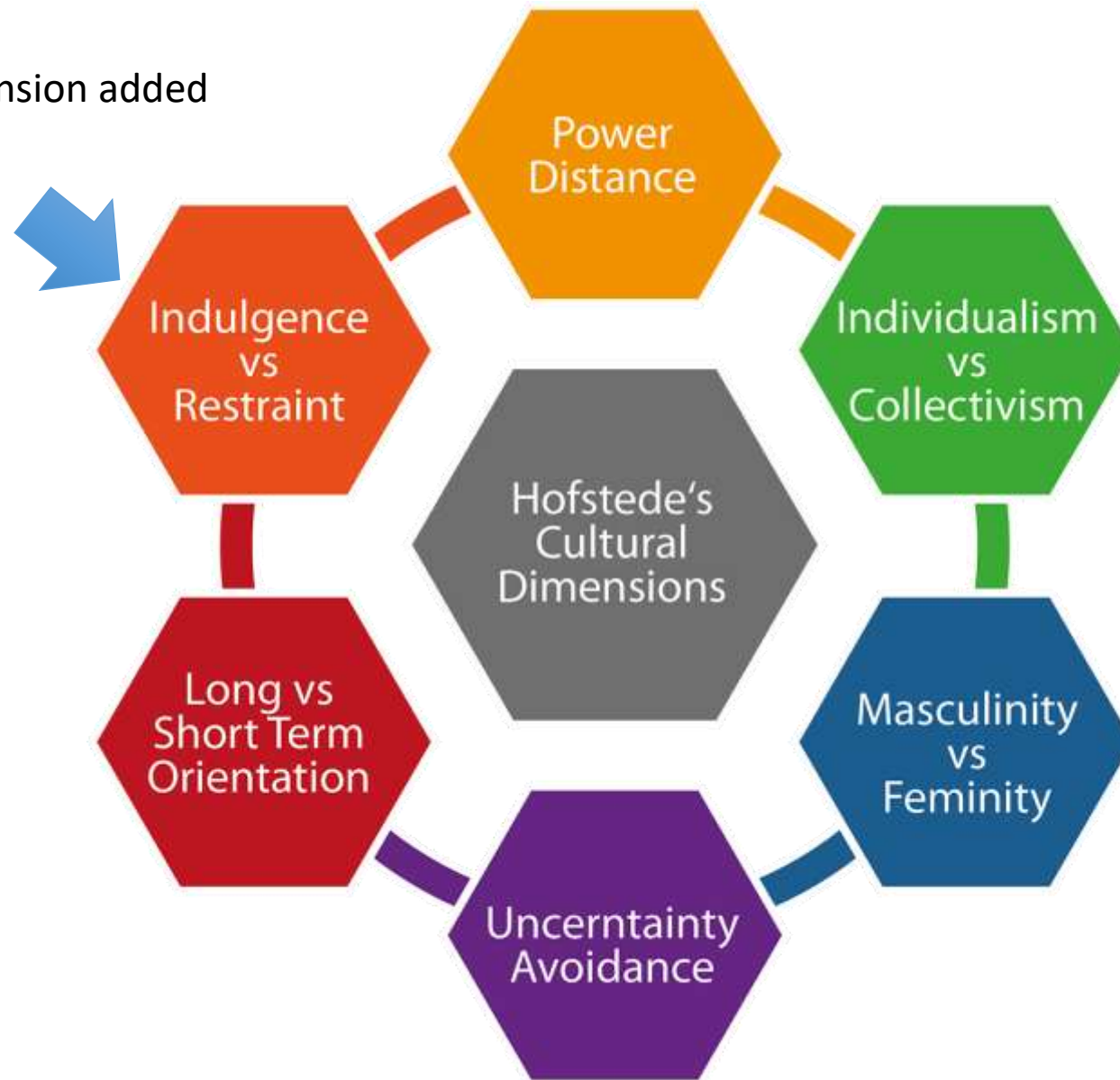
Masculinity—Femininity Distance: The degree to which gender roles are differentiated and linked to work versus home and family

Tolerance for Ambiguity and Uncertainty: The degree to which members of the society feel comfortable in uncertain and ambiguous circumstances; the need for clear structures, processes, and rules

Short-Run vs. Long-Run Time Orientation: The degree to which members of society plan for and fantasize about the distant future versus being concerned only about the near future

Schein and Schein,
2017:

6th dimension added
in 2010



Hofstede (2010)

See more [Geert Hofstede and Gert Jan Hofstede on culture](#)



The Problems with 'Strong' Cultures

- Makes merging with an organisation more difficult
 - Attracts & retains similar kinds of employees thereby limiting the diversity of thought
 - Can be 'too much of a good thing' if it creates extreme behaviours among employees
 - May impede success if it encourages conformist attitudes
 - Thus possibility of 'Groupthink'? (Janis, 1972)
 - Slow to develop & then difficult to change for reasons above
-
- Strong does not necessarily mean 'good'

Application: Zappos

Enter Zappos website (www.zappos.com). Scroll downwards and click on “About”, then scroll down and click, “Learn More About Zappos ONE Purpose,”

Questions:

- What are the main elements of Zappos culture?
- How does the Zappos company culture define their value?
- How easy would it be to institute Zappos culture in other companies?

Culture Task

Think of an organisation you work in or have worked for

1. Tell me the pro's and con's for this individual company.

Think of an organisation you would like to work for:

1. Tell me the pro's and con's for this individual company.

Organisation Structure

Board of directors
Professionalism of
management

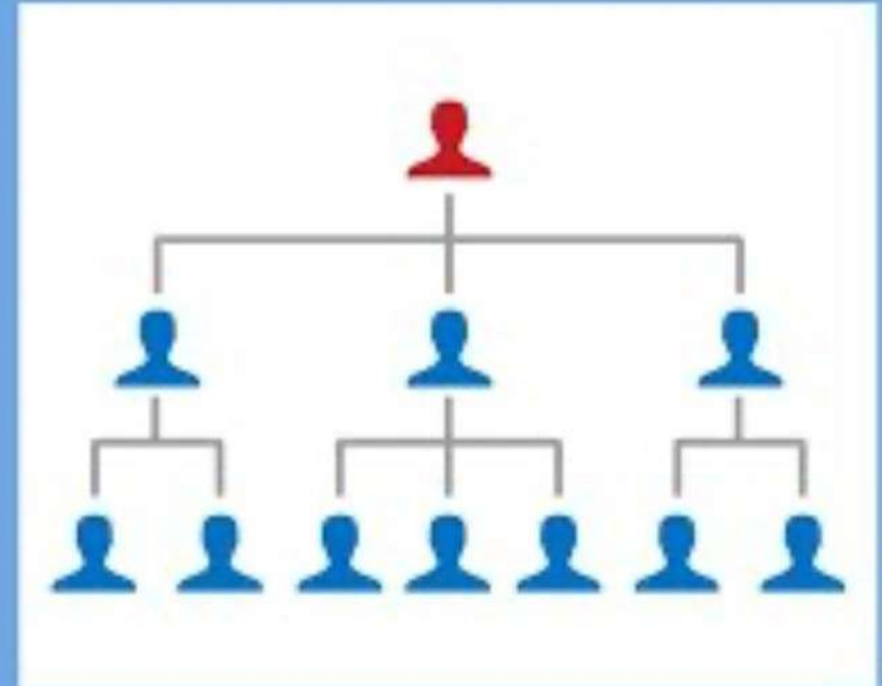
Influences business
decision



An efficient working of an organisation requires that the structure should be conducive for quick decision making

ORGANIZATIONAL STRUCTURES

- * Hierarchical
- * Divisional
- * Functional
- * Matrix
- * Flat
- * Network



From A Business Professor

So...What does this structure enable?

- Achieve efficiency in the utilisation of resources
- Monitor organisational performance
- Accountability of individuals
- Coordinate different parts of the organisation
- Efficient and effective communication
- Job satisfaction –progression opportunities
- Adapt to change (internal or external developments)

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